

Are Discounts Beneficial to Eniac ?

Premium Insight Squad
Malynn, Shannon, Paul, Henning

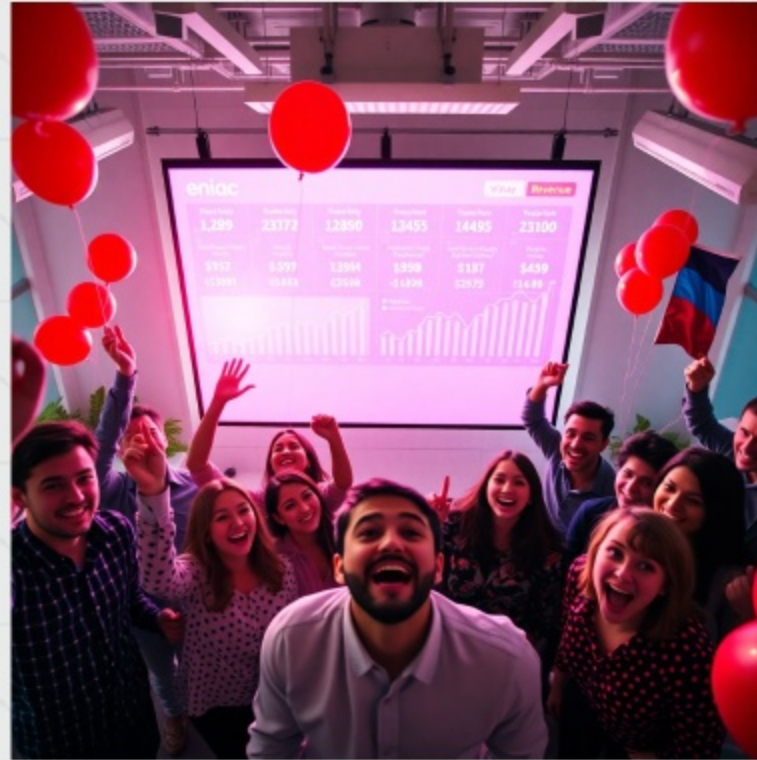
Are the discounts driving growth or quietly eroding profitability?

Volume vs Value

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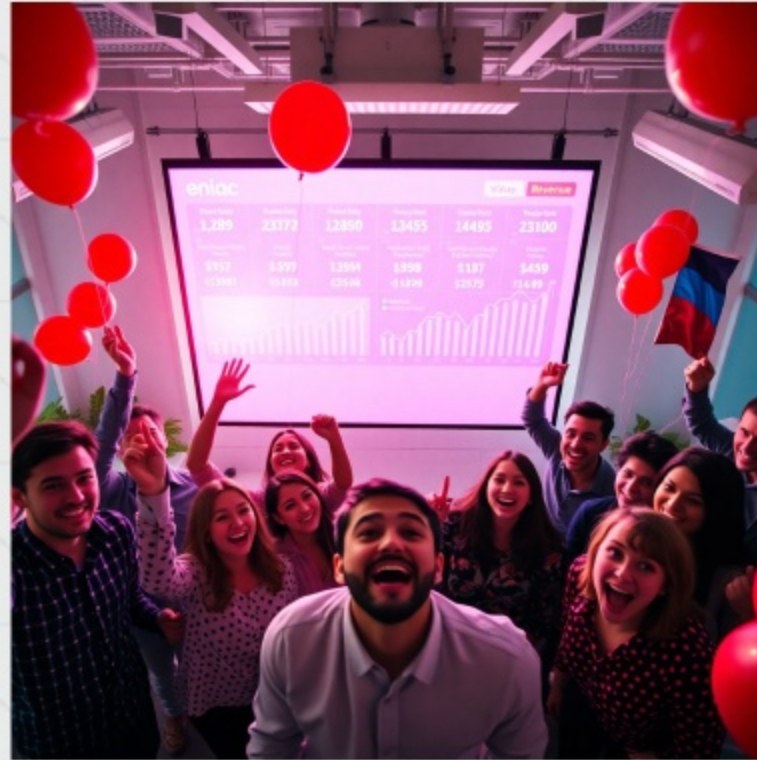
"We're winning the market,"
- Marketing team



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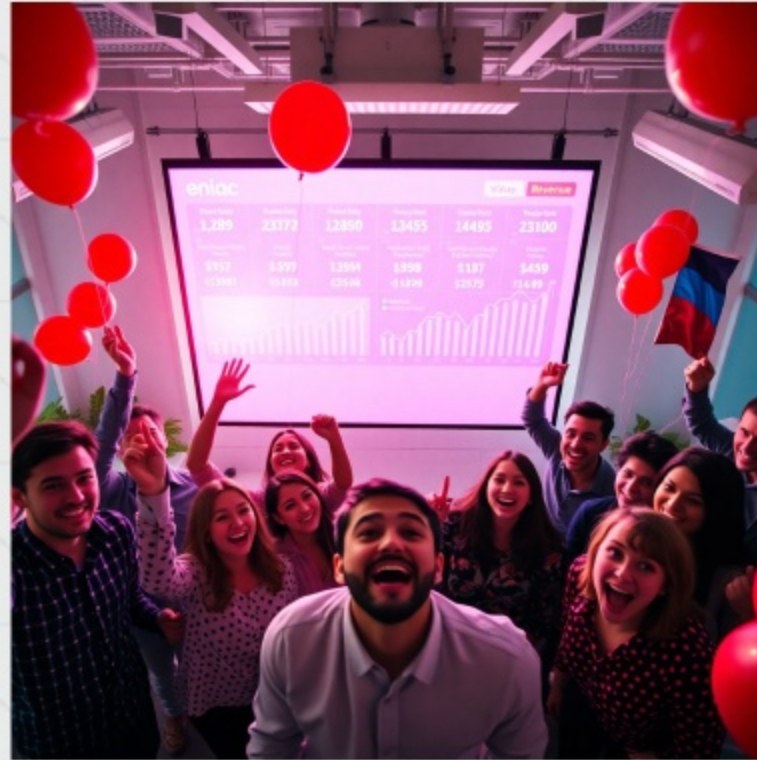
"We are not growing?"
- Board members



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Kofis' Basket of coins



Similar to Kofis, Eniac had:

- more customers via discount
- but less value

Revenue cannibalization from high discounts

January 2017 - March 2018 | completed orders

40,985

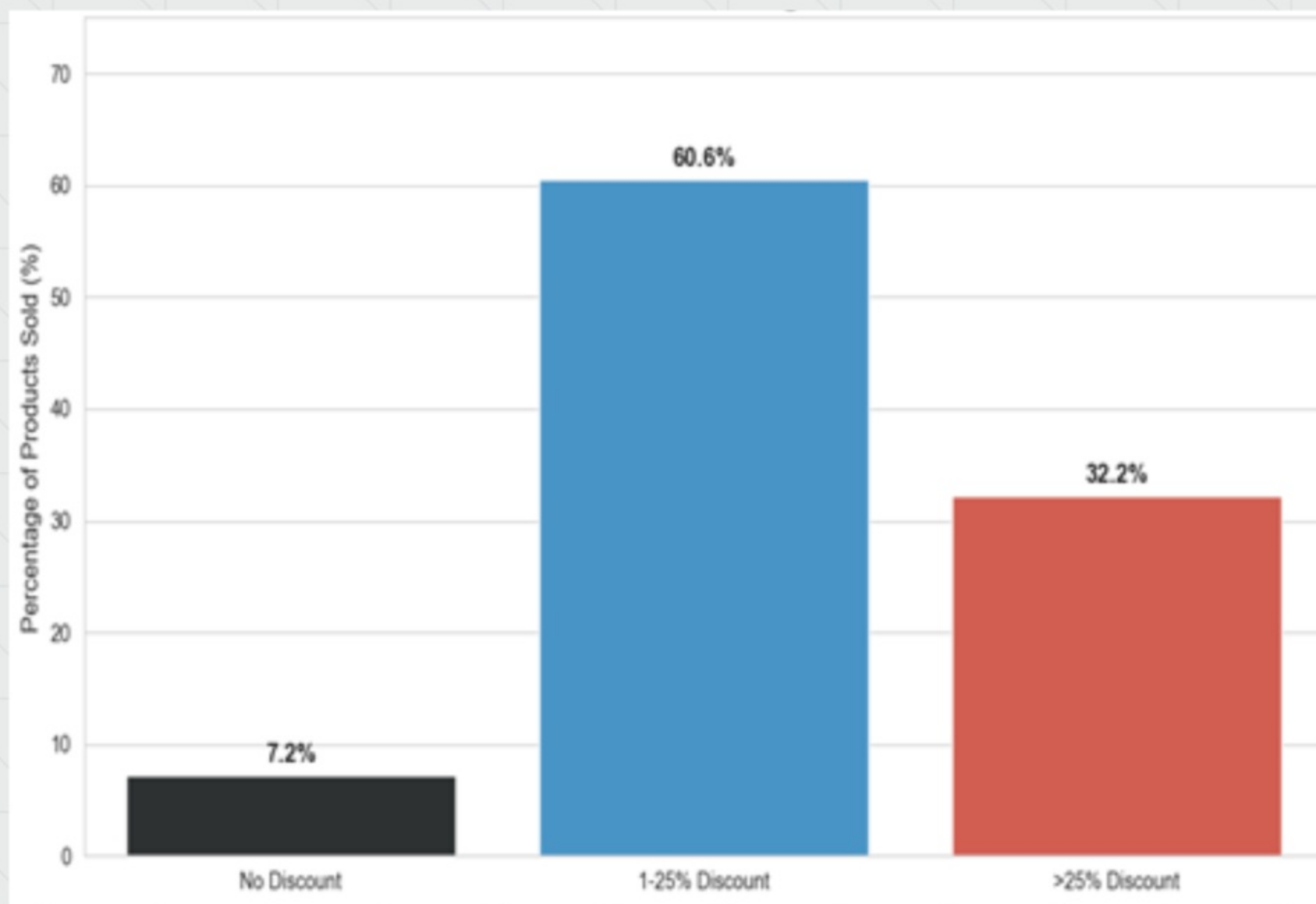
Total completed orders

~€7.82M

Total revenue

92.8%

Discount dependency



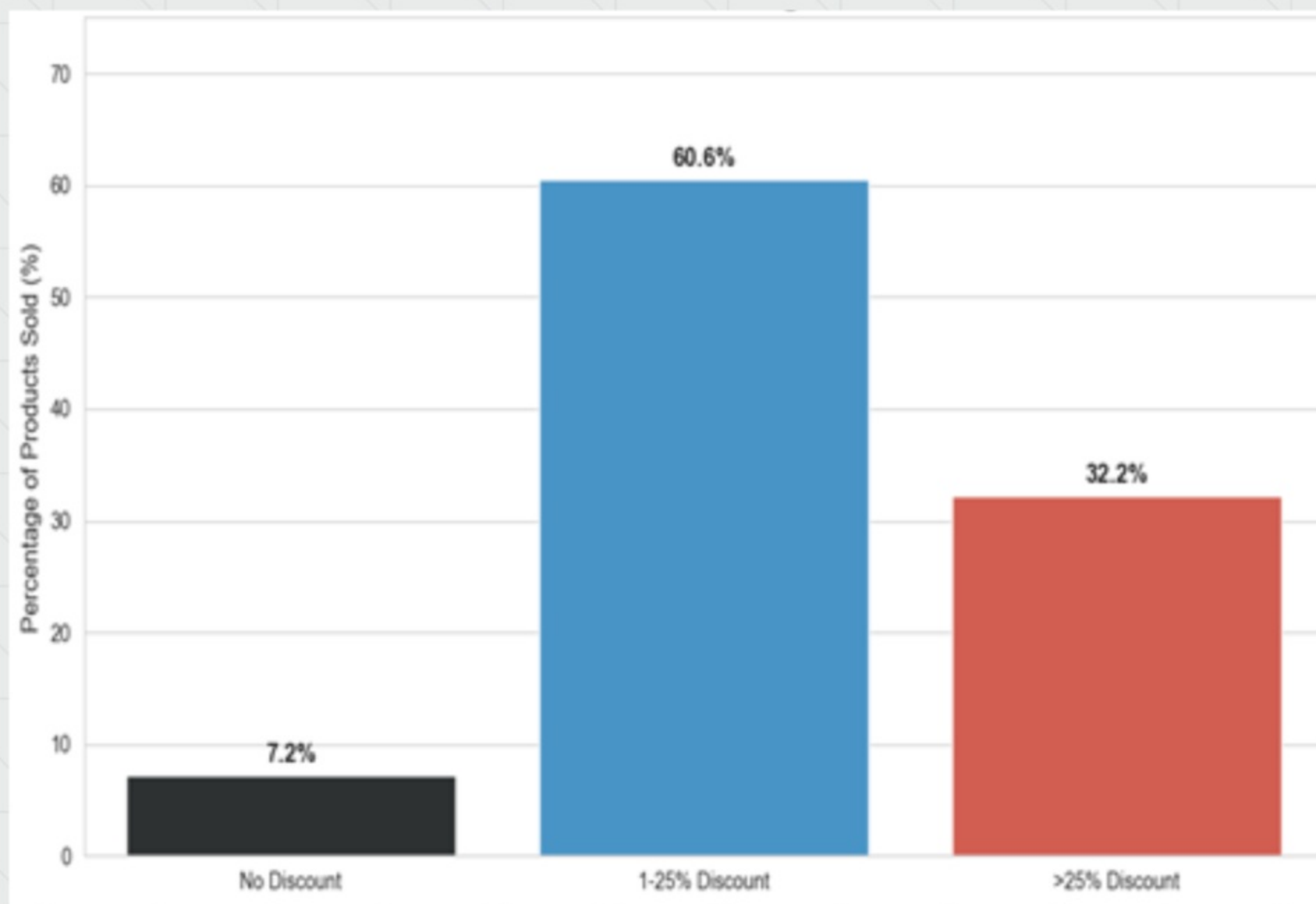
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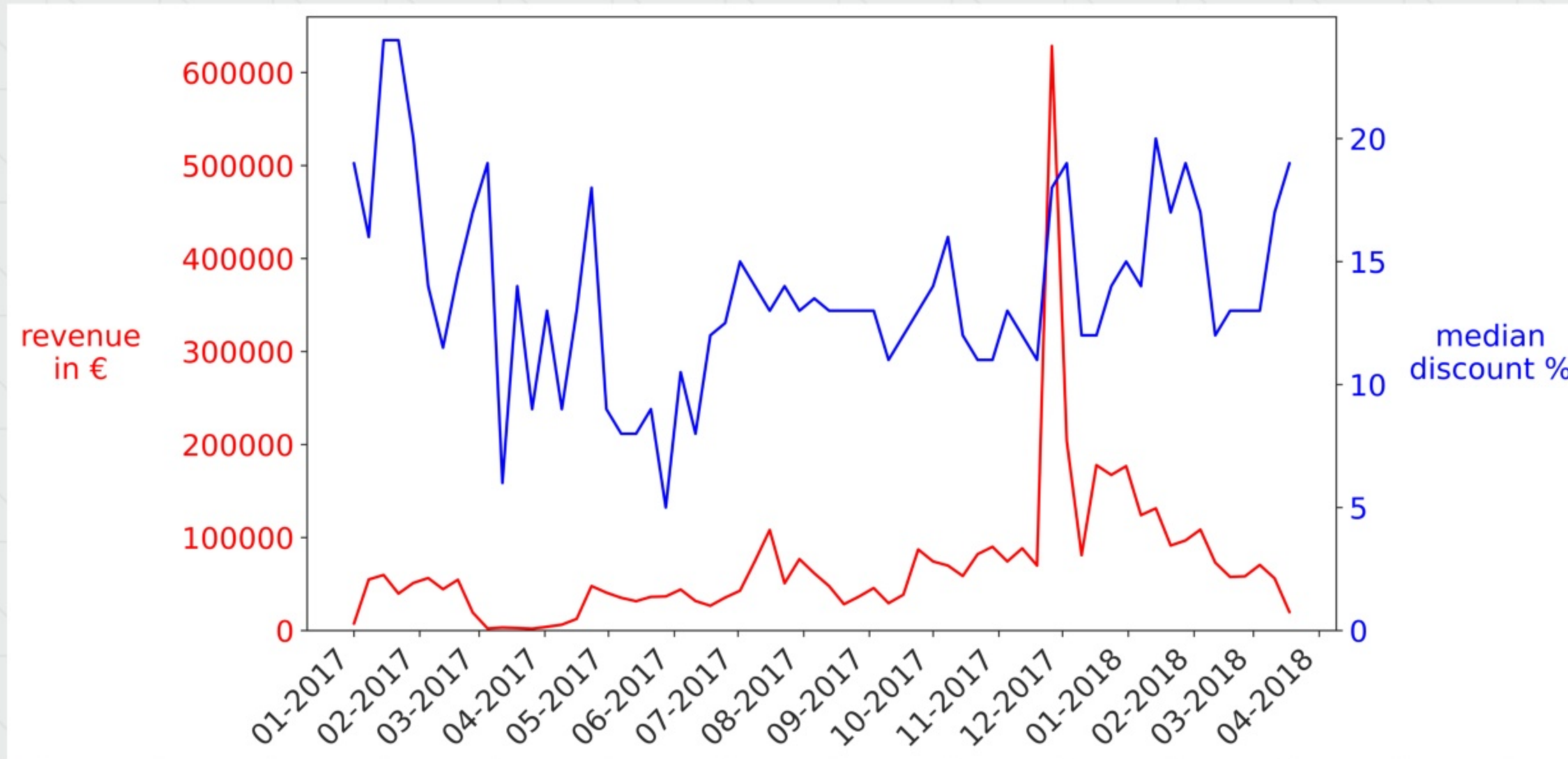


Takeaway:

- 1/3 of our products rely on heavy discounts
- Erosion of our Quality Segment positioning

Seasonality seems to drive revenue, not discounts

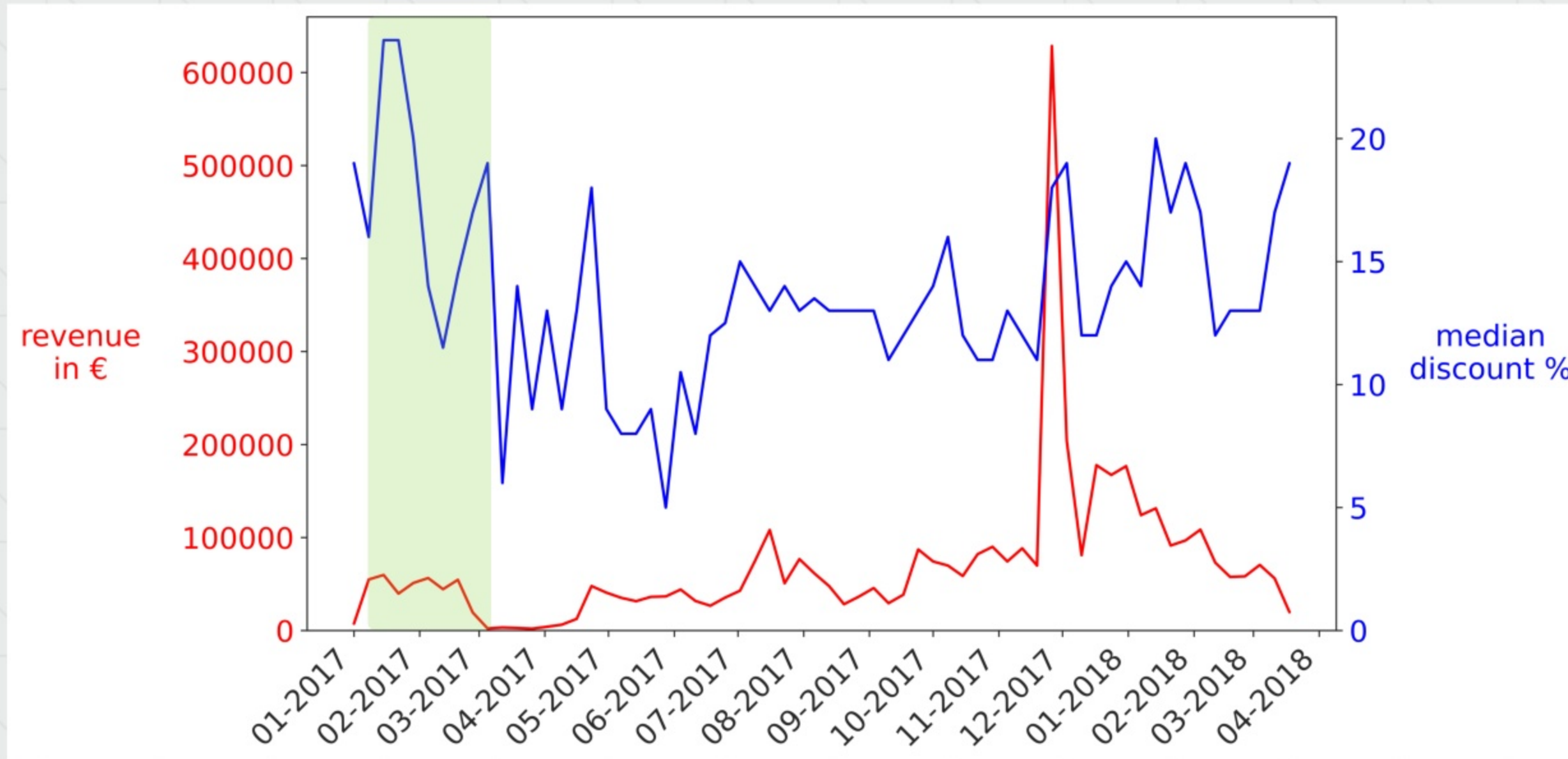
Weekly revenue / average discount % of top 250 products



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high discounts
low revenue

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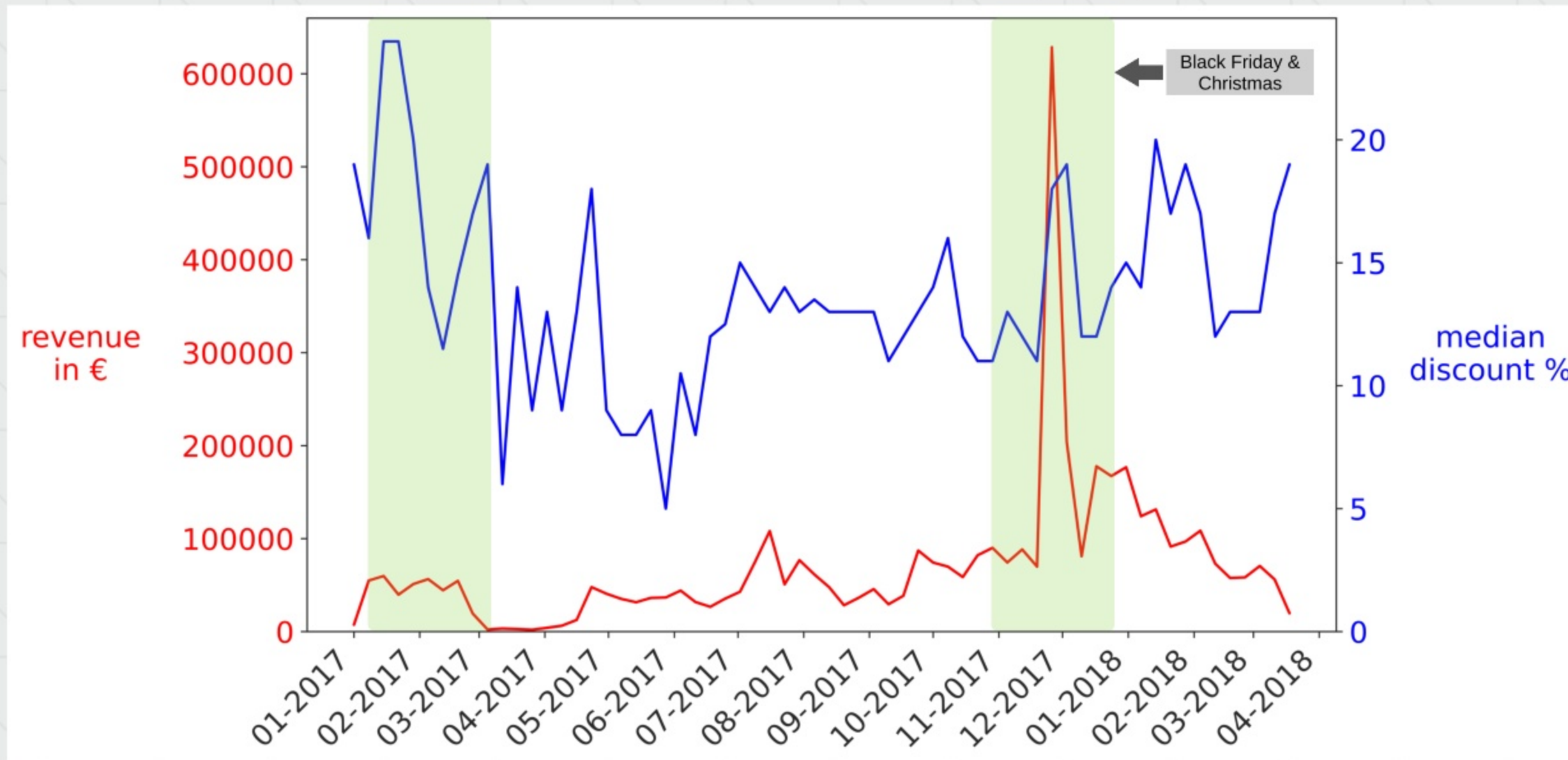


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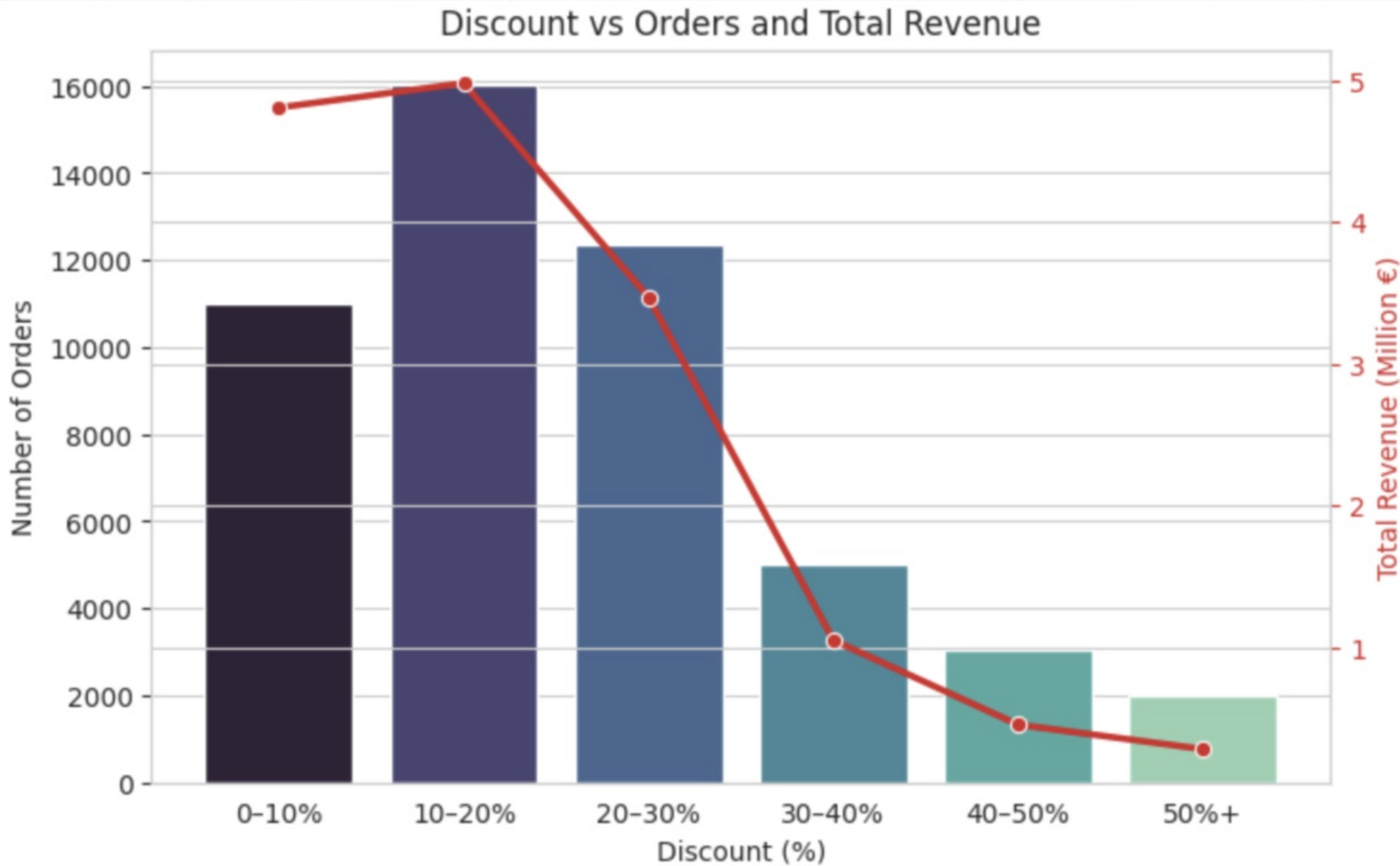
high discounts
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medium discounts
high revenue

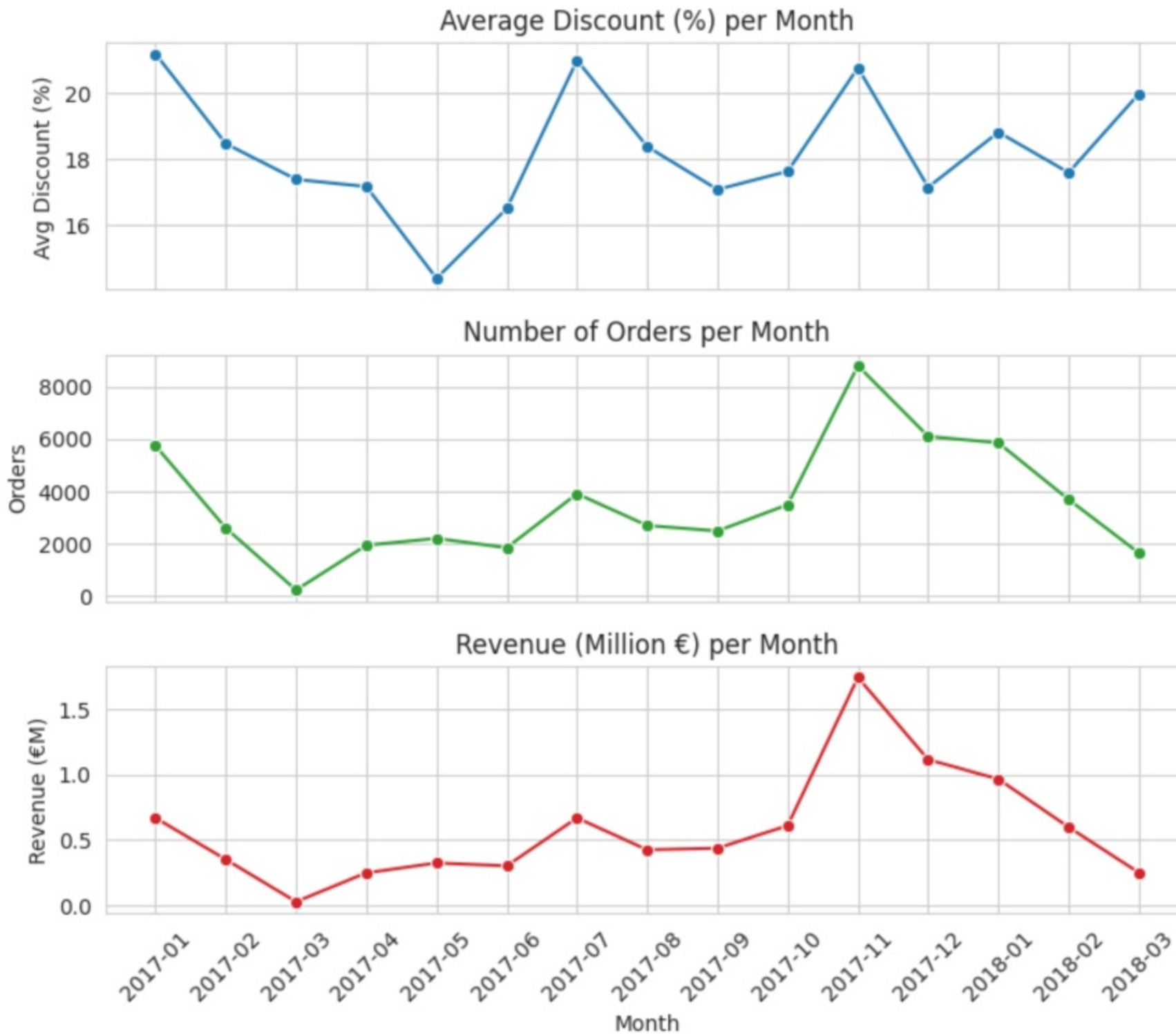
Weekly revenue / average discount % of top 250 products



Higher discounts do not increase Demand nor Revenue



Discounts do not consistently drive revenue



Observation:

- Higher discounts sometimes increase orders
- Revenue does not consistently follow
- Strong peaks driven by specific periods (e.g. Nov)
- Discounts show inconsistent impact

Takeaway:

- Discounts are not a reliable growth driver

Seasonality Over Discounts: A Strategy for Sustainable Revenue

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WHAT DRIVES THE SALE: TAG OR PRICE?

OPTION A

*Focus: Brand
Equity & Profit*

Buyers pay full price



OPTION B

Focus: Conversion

Capture emails
and offer discount.



5% DISCOUNT FOR
NEW CUSTOMERS

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Value missing: COGS/CAC to protect Net Contribution

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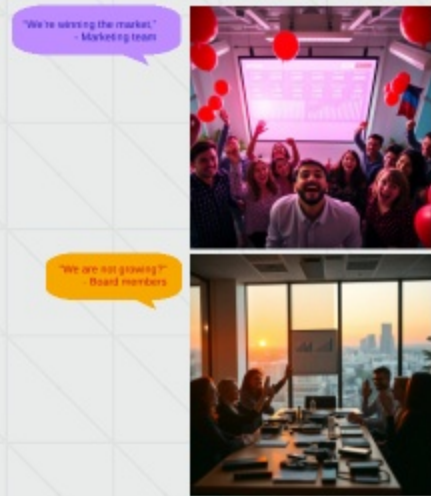
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Eniac's discount dilemma

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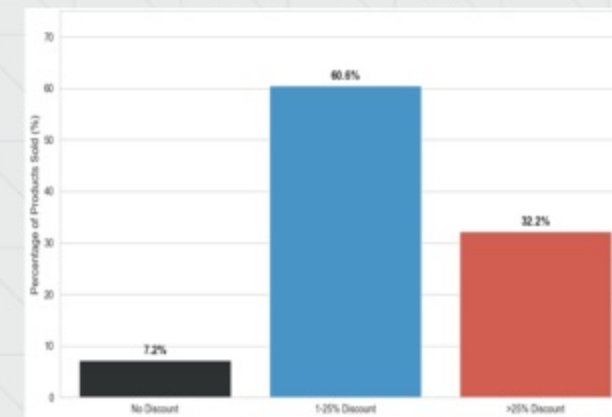
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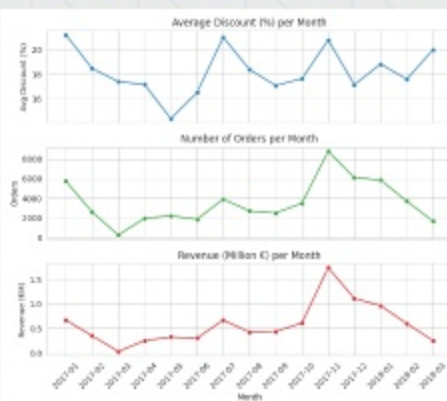
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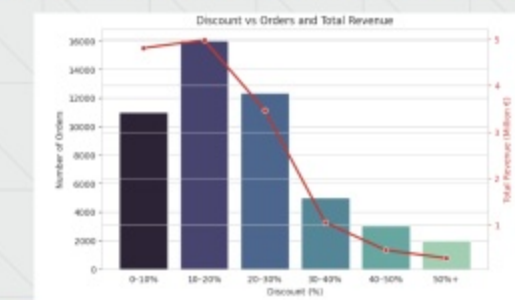
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